Revision Date:
05/01/2022

Background:
Excluded income is any income that will not count in the CalFresh budget when determining eligibility.

Purpose:
The purpose of this section clarifies income that will not be counted when determining eligibility. This section is being revised to align with recent state policy changes. Effective December 1, 2021, student loans and grants excluded for CalWORKs must also be excluded for CalFresh.

Policy:
Excluded income detailed below must not be counted in the CalFresh budget calculation. Excluded income shall include but is not limited to:

Type	Description
Agent Orange Settlement Fund	Payments received from the Agent Orange Settlement Fund under the Agent Orange Compensation Act of 1989.
Benefits Received by Children	Special Supplemental Food Program for Women, Infants, and Children (WIC), Special Milk Program, School Breakfast and Lunch Programs, Summer Food Service Program for Children, Commodity Distribution Program, and Child/Adult Care Food Program.
Board of Governors Grant (BOGG) Fee Waiver	The amount of the BOGG fee waiver.
California Victims of Crimes	Payments received under the California Victims of Crimes Program.
Cash Donations	Cash donations received from one or more private, nonprofit charitable organizations of not more than $300 in a calendar quarter.
Child Care Payments Made Under Title IV-A	Any childcare payment made under Title IV-A of the Social Security Act, including transitional childcare and the Child Care and Development Block Grant.
Child Support Transferred to the District Attorney	Child support payments received by CalWORKs recipients, directly from a non-household member that must be transferred to the District Attorney's office or other county agency, to maintain CalWORKs eligibility. Exclude the child support income when the customer assigns child support rights to the county (signs the Notice and Agreement for Child, Spousal and Medical Support [CW 2.1]).
Contributions from People or Organizations	Contributions as income when it is meant for a specific expenditure (for example, rent).
Department of	Allowances for training expenses paid to recipients participating in

Rehabilitation Training Allowances	Department of Rehabilitation programs.
Domestic Volunteer Services Act	Any payment to volunteers under Title II of the Domestic Volunteer Services Act, including but not limited to the Retired Senior Volunteer Program (RSVP), Foster Grandparents Program and Senior Companion Program.
Earnings of a Minor Child	The earned income from a child, when they are elementary or secondary school students at least half time and have not attained their 18th birthday. • Exclude the earned income of a student turning 18 years of age during the certification period or initial application until the month following the month the student turns 18. The exclusion continues to apply during temporary interruptions in school attendance due to semester or vacation breaks, provided the child's enrollment will resume following the break. If the child's earnings or amount of work performed cannot be differentiated from that of other household (HH) members, prorate the total earnings equally among the working members and exclude child's prorated share. • Individuals are considered children for purposes of this provision if they are under the parental control of another HH member. **Note**: The unearned income (For example, Social Security) of a child under 18 is not excluded.
Educational Assistance	In general, education assistance is considered excluded income when determining eligibility. Educational assistance, including grants, scholarships, fellowships, work study, educational loans on which payment is deferred, veterans' educational benefits and the like will be excluded. Refer to Educational Assistance Desk Aid. Exclude educational assistance not otherwise excluded by federal statute, to the extent that it is either earmarked by the lender, used for, or intended to be used for, allowable educational expenses at qualifying institutions. The following financial educational assistance is excluded: • Bureau of Indian Affairs student assistance programs. • Grants administered by the Federal Secretary of Education. • Loans or grants administered by: ○ Community college extended opportunity services. ○ California Student Aid Commission (CSAC). ○ A college accredited by the Western Association of Schools and Colleges. • Needs-based grants for undergraduate students. • Awards and scholarships for dependent children.

	• Grants not available to the student to meet current needs. • Any other loans which have a written agreement specifying to repay and a repayment plan. • Any other educational assistance when is used for allowable educational expenses. • Title XIII, Indian Higher Education Programs, Tribal Development Student Assistance Revolving Loan Program, and the Carl D. Perkins Vocational and Applied Technology Education Act Amendments of 1990. • A program funded in whole or part under Title IV of the Higher Education Act which include: ○ Basic Educational Opportunity Grants (BEOG). ○ Direct Graduate PLUS Loans. ○ Direct PLUS Loans. ○ Direct Subsidized/Unsubsidized Loans. ○ Federal Pell Grants. ○ Federal Perkins Loans. ○ Federal Stafford Loans. ○ Grants to States for Student Incentives. ○ Guaranteed Student Loan Program. ○ Iraq and Afghanistan Service Grant. ○ Special Programs for Students from Disadvantaged Background. ○ Supplemental Educational Opportunity Grants (SEOG). ○ Teacher Education Assistance for College and Higher Education Grants (TEACH). ○ Veterans' Educational Outreach Program. Verify all factors affecting educational assistance. The student is responsible for providing information to document the amounts claimed for tuition, mandatory fees, books, supplies, transportation, dependent care, and miscellaneous personal expenses. Any portion of assistance received that is not used for allowable expenses will not be excluded.
Emergency Assistance under the Disaster Relief Act of 1974	Federal major disaster and emergency assistance provided under the Disaster Relief Act of 1974, and comparable assistance provided by states, local governments, and disaster assistance organizations.
Employment and Training Payments	Any payment made to a CalFresh Employment and Training (CFET) program participant for costs that are reasonably necessary and directly related to participation in the program. Excluded CFET payments for costs include, but are not limited to: • Dependent care costs. • Transportation. • Other costs related to work, training, or education, such as uniforms, personal safety items or other necessary equipment and books or

	training manuals. Exception: The costs of meals.
Federal and State Work Study Program	Income received from any federal and state Work Study program that is allocated for educational expenses. Refer to Excluded Educational Assistance Desk Aid.
Foster Care or Approved Relative Caretaker Program (ARC) Payments	Foster care or ARC payments received by HHs with foster care children, who by the HH's choice are excluded and not part of the CalFresh HH. When a child has returned to their home, do not include former foster care payments in the budget.
Funds and payments to Native American Tribal members or Alaskan Natives	Funds and payments received by the following: • Bad River Band of the Lake Superior Tribe of Chippewa Indians of Wisconsin. • Blackfeet Tribe. • Cherokee Nation of Oklahoma. • Cheyenne River Sioux Tribe. • Crow Creek Sioux Tribe. • Lower Brule Sioux Tribe. • Devils Lake Sioux Tribe. • Fort Belknap Indian Community. • Assiniboine and Sioux Tribes. • Lac Corte Oreilles Band of Lake Superior Chippewa Indians. • Keweenaw Bay Indian Community. • Minnesota Chippewa Tribe. • Navajo Tribe, Oglala Sioux Tribe. • Rosebud Sioux Tribe. • Shoshone-Bannock Tribe. • The Standing Rock Sioux Tribe. • Grand River Band of Ottawa Indians. • Confederated Tribes and Bands of the Yakima Indian Nation and the Apache Tribe of the Mescalero Reservation from the Indian Claims Commission. • Passamaquoddy Tribe, the Penobscot Nation, or the Houlton Band of Maliseet, or any Indian HH or member thereof, pursuant to the Main Indian Claims Settlement Act of 1980. • Relocation Assistance to members of the Navajo and Hopi Tribes. • Indian Claims Commission or Claims Court. • Interests of Individual Indians in Trusts. • Indian Child Welfare Act that has children or family services granted through a program on or near reservations. • Turtle Mountain Band of Chippewa Arizona. • Blackfeet, Gros Ventre, Assiniboine tribes, Montana, and the Papago, Red Lake Band of Chippewa Indians.

	• White Earth Band of Chippewa Indians, Minnesota, pursuant to the White Earth Reservation Land Settlement Act of 1985. • Saginaw Chippewa Indian Tribe of Michigan. • Members of the Assiniboine Tribe of the Fort Belknap Indian Community and the Fort Peck Indian Reservation Montana. • Heirs of deceased Native Americans under the Old Age Assistance Clams Act except for per capita shares exceeding $2,000. • Funds distributed per capita or held in trust for the Chippewas of Lake Superior and the Chippewas of the Mississippi. • Assets or income from the trust fund established to the Puyallup Tribe of Indians Settlement Act of 1989. • Payments made to the Seminole Nation of Oklahoma, the Seminole Tribe of Florida, the Miccosukee Tribe of Indians of Florida, and the independent Seminole Indians of Florida to satisfy the judgements of the Indians Claims Commission, except as per capita payments exceeding $2,000. • Payments, funds distributions or income under the Seneca Nation Settlement Act of 1990.
Garnished and Diverted Wages	• Income received as a vendor payment if an employer pays a HH rent directly to the landlord in addition to paying regular wages. • Earned in-kind if an employer provides housing in addition to wages. • Count as income wages earned by a HH member that are garnished or diverted by an employer and paid to a third party for a HH's expenses such as rent.
General Relief	General Relief vendor payment is not counted as income to the HH, except when the payment is for housing or energy assistance.
Independent Living Program (ILP)	Income and incentive payments earned by children 16 years of age or older participating in the ILP when received as part of the ILP written transitional independent living plan. There is no limit to the amount exempted under this subsection.
Infrequent Income	Any income that is infrequent and not reasonably anticipated to occur, but not more than $30 in a quarter.
Income Withheld to Pay an Overpayment	• Income withheld from an assistance payment, earned income, or other income source to repay a prior overpayment voluntarily or involuntarily. • Income received from any income source that is voluntarily or involuntarily returned to repay an overpayment from the same source. Exception: Count the gross income if the overpayment is excluded or due to failure to comply with regulations required under federal, state, or local public assistance programs.
Income and Cash payments of a non-	• The income of a non-HH member will not be considered available to

HH member	the HH.
In-Kind Income	Exclude any gain or benefit which is not in the form of money payable directly to the HH. For example, earned and unearned in-kind, cafeteria-style benefits, flex credits, health benefits and flexible spending accounts etc.
Job Training Partnership ACT (JTPA)	Earnings received from JTPA payments as follows: • All payments and earnings of a child received from participation in JTPA programs. • Payments to an adult received from participation in JTPA programs to the extent the payment reimbursements do not exceed actual expenses (for example, transportation, childcare expenses).
Legally Obligated Child Support Payments	• Child support payments only to the extent that they represent the HH's child support obligation, which has been ordered by a court or administrative authority. • Legally obligated child support payments: o Made to a third party (for example: a landlord or utility company) on behalf of the non-HH member in accordance with the support order. o Made by a HH with a legal obligation to obtain health insurance for a child. o Paid toward arrearages. • If the HH member obligated to pay the child support has zero income but another HH member with income is paying the child support, the child support exclusion is allowed to the CalFresh HH. • The child support exclusion is also allowed when a HH with no income pays the legally obligated child support with the CalWORKs grant. <u>Verification</u>: The payments must be verified. Do not allow the exclusion if the HH fails or refuses to provide the verification. Determine eligibility and allotment without the child support exclusion.
Loans	All loans from private individuals and commercial institutions, other than educational loans on which repayment is deferred.
Military Pay	The following is a list of special allowances from military pay that are excluded: • Combat Pay and Hardship Duty Pay (HDP). • Clothing Maintenance Allowance (CMA). <u>Verification</u>: The HH should be able to provide the deployed person's military pay record, the Leave and Earnings Statement (LES). The LES will identify combat pay received and can be used to establish deployment to a combat zone.

Non-Minor Dependent (NMD) Foster Care Income	Any portion of the foster care payment that is not paid directly to the NMD. The money that is not legally obligated to be paid to the HH but is paid to a third party for a HH expense, must be excluded from income as a vendor payment. Refer to CalFresh Program Guide (CFPG) 63-223, if the extended foster care provider gives the NMD a company prepaid gift card that can be reasonably anticipated.
Nonrecurring Lump-sum Payments	A non-recurring lump sum received in one payment rather than recurring payments. Non-recurring lump-sum payments include but are not limited to: • Earned Income Tax Credit (EITC), Child Tax Credit (CTC), Income tax refunds, rebates, or credits. • Retroactive lump-sum Social Security, railroad retirement benefits, or other payments. • Retroactive payments for the approval of an application for any assistance program. • CalWORKs homeless assistance payments for temporary shelter or permanent housing. • Court ordered retroactive payments from any assistance program; supplemental or corrective payments received for a previous month from any assistance program. • Lump-sum insurance settlements; or refunds of security deposits on rental property or utilities. • CalWORKs Diversion payments made to divert a family from becoming dependent on if the payment is not defined as assistance. **Note**: Count lump sum payments as resources in the month received unless specifically excluded from consideration as a resource by other federal laws. Exclude as income and count as a resource child/spousal support disregard payments in any month.
Other Public Assistance Vendor Payments	CalWORKs, Refugee Cash Assistance, or Entrant Cash Assistance payment is considered an excluded vendor payment if that payment is for: • Medical assistance. • Childcare assistance. • Housing assistance payments made through a state or local housing authority. • Emergency or special assistance. • Energy assistance.
Payments made under Federal Law	Benefits under a state program funded under Part A of Title IV of the Social Security Act, for the purpose of energy assistance.
Payments Received by Aleut Residents	Payments received by Aleutian and Pribilof Islands Restitution Act.

Payments under Title I of the Domestic Volunteer Services Act (AmeriCorps)	Earnings of individuals (applicants and recipients) who participated in the following Title I Volunteers to America Programs payments for: o AmeriCorps*National Civilian Community Corps. o AmeriCorps*State/National. o AmeriCorps* Volunteers in Services to America (VISTA) Program payments if the person was receiving CalFresh or public assistance when the customer joined VISTA. For countable income from these programs, please refer to CFPG 63-222. **Note:** Temporary interruptions in CalFresh participation does not affect the exclusion once eligibility has been determined.
Public Assistance Diverted to Third Parties	Any payment that would normally be provided as a monetary payment to the HH that is over and above the normal grant, if the payment is made directly to a third party for a HH expense. This is considered emergency or special assistance.
Radiation Exposure Compensation Trust Fund	Payments received from the Radiation Exposure Compensation Trust Fund under the Radiation Exposure Compensation Act of 1990.
Reimbursements	These payments must be provided specifically for an identified expense, other than normal living expenses, and used for the purpose intended. Do not exclude reimbursements for normal HH living expenses such as rent or mortgage, personal clothing, or food because this would be considered a benefit to the HH. Below are examples of excludable reimbursements: • Reimbursements or flat allowances for job or training related expenses such as travel, per diem, uniforms, and transportation to and from the job or training site. • Reimbursements which are provided over and above the basic wages for these expenses are excluded. However, these expenses if not reimbursed are not otherwise deductible. • Reimbursements for the travel expenses incurred by migrant workers. • Reimbursements for out-of-pocket expenses of volunteers included in the course of their work. • Medical or dependent care reimbursements. • Reimbursements received by HHs to pay for services provided by Title XX of the Social Security Act. • Reimbursements made to the HH for expenses necessary for participation in an education component under the CFET Program. • Payments or reimbursements made under an employment, education, or training program initiated under Title IV-A of the Social Security Act after September 19, 1988, such as payments for Welfare-To-Work (WTW) supportive services. • Any allowance provided by the state or county no more frequently than annually for children's clothes when the children enter or return to

	school or daycare. Verification of attendance is not required. • Reimbursements received by HHs for participation in the Greater Avenues for Independence (GAIN) Program.
Relocation Assistance Benefit	Benefits paid by a public agency to a CalFresh recipient who has been relocated because of redevelopment, urban renewal, freeway construction or any other public development involving demolition or condemnation of existing housing.
Relocation Assistance and Real Property Acquisition	Reimbursements from the Uniform Relocation Assistance and Real Property Acquisition Policy Act of 1970.
Restitution to United States citizens of Japanese Ancestry	Payments received as restitution pursuant to the Civil Liberties Act of 1988.
Self-Employment Expenses	Self-employment expenses.
Senior Community Service Employment Program (SCSEP)	Funds received by individuals aged 55 and over provided by the SCSEP under Title V of the Older Americans Act. The following organizations receive Title V funds under the Older Americans Act: • Green Thumb. • National Council on Aging. • National Council of Senior Citizen. • American Association of Retired Persons (AARP). • United States Forest Service. • National Association for Spanish-Speaking Elderly. • National Urban League. • National Council on Black Aging.
Third Party Payments	Payments received and used for the care and maintenance of a third-party beneficiary who is not a HH member.
Title I of the National and Community Services Act (NCSA)	Allowances, earnings, and payments made under Title I of the National and Community Service Act (NCSA) of 1990. Exclude if the participant is a dependent HH member under nineteen (19) years of age Count the earnings of the training portion of the Title I program if the participant is nineteen (19) years of age and older. The NCSA includes programs under the Serve America, American Conservation and Youth Corps and National and Community Service subtitles. Examples of programs under Title I of the NCSA include: • The Higher Education Service-Learning Program. • The AmeriCorps umbrella program, including the National Civilian

	Community Corps and the Summer for Safety programs. • Youth build programs. • The School-to-Work Opportunities Program.
Vendor Payments	Income not legally obligated to be paid to the HH, which are paid to a third party for a HH expense by a person or organization outside of the HH.
Veterans Benefits Improvement	Any amount by which the basic pay of an individual is reduced under the Veterans' Benefits Improvement and Health-Care Authorization Act of 1986.
Veterans Retraining Assistance Program	Benefits earmarked by the Veterans Assistance to be used for educational or training purposes. To exclude, staff must verify that the recipient is enrolled in a qualifying institution that provides secondary, post-secondary education or the equivalent of a post-secondary diploma, or a vocational education program.
Victims of Persecution	Payments made to individuals because they have been determined to be victims of Nazi persecution.
Wages Involuntarily Withheld by Employer	Wages held by the employer as a general practice, even if in violation of law, shall not be counted as income to the HH.
Workforce Investment Act (WIA)	Allowances, earnings, and payments to individuals in programs under the WIA. Exclude earnings of dependent HH member under 19 years of age and under parental control of an adult HH member participating in on-the-job training under WIA. Only count the on-the-job training portion as earned income.

References:
ACIN I-68-17, I-41-10, I-05-08, I-18-07, I-42-07, I-01-06, I-34-04
ACL 21-137
CalFresh Letter No.358 Approved Relative Caregiver (ARC) Program

Sunset Date:
This policy will be reviewed for continuance by 05/31/2025

Approval for Release:

5-16-22
RICK WANNE, Director
Self-Sufficiency Services